



Managing Social Responsibility and Ethics

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Should Organizations Be Socially Involved?



From Obligations to Responsiveness to Responsibility

Classical view: the view that management's only social responsibility is to **maximize profits** *(advocated by economist and Nobel laureate Milton Friedman).*

- **Social obligation:** when a firm engages in social actions because of its obligation to meet certain economic and legal responsibilities.



The Socioeconomic View

Socioeconomic view: when a firm engages in social actions **beyond its obligation** to meet certain economic and legal responsibilities.

- **Social responsiveness:** engages in social actions in response to some popular social needs.

- **Social responsibility:** A business's intention, beyond its legal and economic obligations, to do the right things and act in ways that are good for society.

Exhibit 6-1 outlines arguments for and against social involvement

FOR

Public expectations

Public opinion now supports businesses pursuing economic and social goals.

Long-run profits

Socially responsible companies tend to have more secure long-run profits.

Ethical obligation

Businesses should be socially responsible because responsible actions are the right thing to do.

Public image

Businesses can create a favorable public image by pursuing social goals.

Better environment

Business involvement can help solve difficult social problems.

Discouragement of further governmental regulation

By becoming socially responsible, businesses can expect less government regulation.

Balance of responsibility and power

Businesses have a lot of power and an equally large amount of responsibility is needed to balance against that power.

Stockholder interests

Social responsibility will improve a business's stock price in the long run.

Possession of resources

Businesses have the resources to support public and charitable projects that need assistance.

Superiority of prevention over cures

Businesses should address social problems before they become serious and costly to correct.

AGAINST

Violation of profit maximization

Business is being socially responsible only when it pursues its economic interests.

Dilution of purpose

Pursuing social goals dilutes business's primary purpose—economic productivity.

Costs

Many socially responsible actions do not cover their costs and someone must pay those costs.

Too much power

Businesses have a lot of power already; if they pursue social goals, they will have even more.

Lack of skills

Business leaders lack the necessary skills to address social issues.

Lack of accountability

There are no direct lines of accountability for social actions.

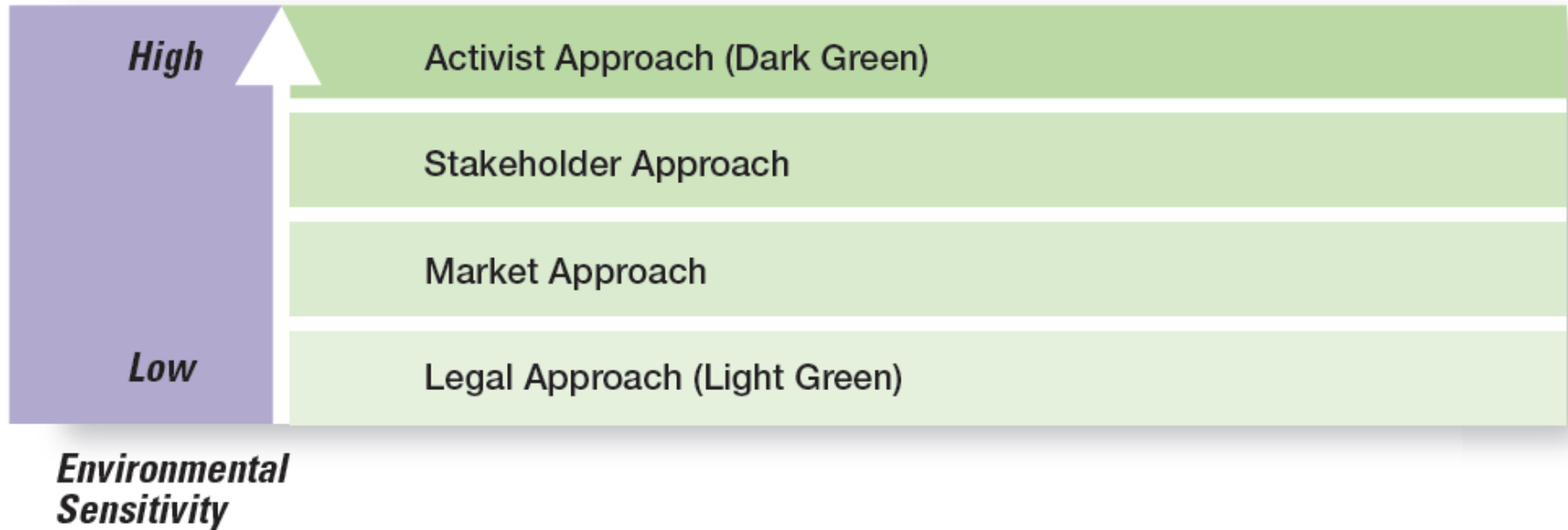
Green Management and Sustainability



Green Management and Sustainability

- **Green management:** managers consider the impact of their organization on the **natural environment**.

How Organizations Go Green: Green Approaches

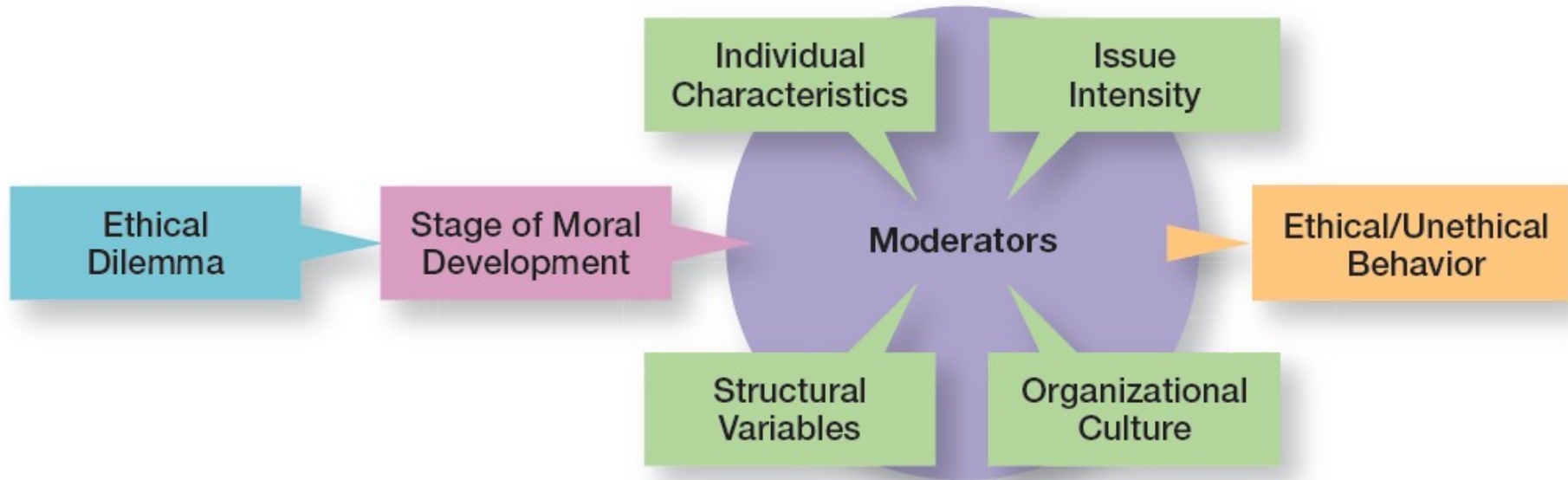




Managers and Ethical Behavior

- **Ethics:** principles, values, and beliefs that define right and wrong behavior

Factors that Determine Ethical and Unethical Behavior



Levels & Stages of Moral Development



- Preconventional level
- Conventional level
- Principled level

Level	Description of Stage
Principled	6. Following self-chosen ethical principles even if they violate the law 5. Valuing rights of others and upholding absolute values and rights regardless of the majority's opinion
Conventional	4. Maintaining conventional order by fulfilling obligations to which you have agreed 3. Living up to what is expected by people close to you
Preconventional	2. Following rules only when doing so is in your immediate interest 1. Sticking to rules to avoid physical punishment



Individual Characteristics

- **Values:** defines what is wrong or rights
 - **Personality:**
 - **Ego strength:** Strength of conviction
 - **Locus of control:** Internal Locus of control & External Locus of control
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Structural Variables

Ethical behavior can be influenced by an organization's structural design:

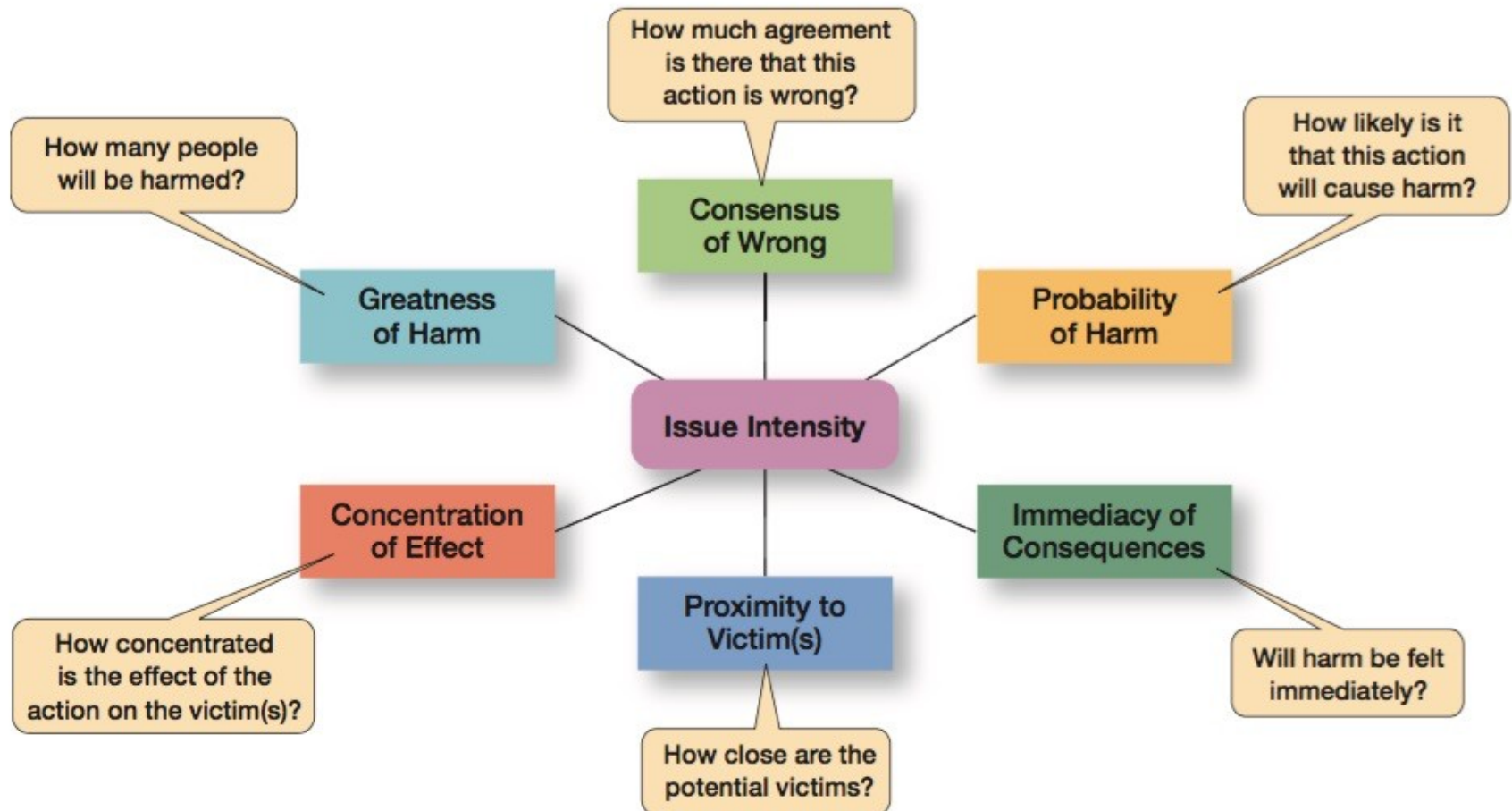
- **Goals**
- **Performance appraisal system**
- **Reward allocation**



Organization's Culture

- Organization's culture consists of the **shared organizational values**.
 - **Values-based management**: the organization's values guide employees in the way they do their jobs
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Issue Intensity





Encouraging Ethical behaviour

- **Employee Selection**
 - **Code of ethics:** a formal statement of an organization's primary values and the ethical rules it expects its employees to follow
 - **Leadership at the Top** (Ethical leadership)
 - **Ethics Training:** seminars, workshops, and training programs to encourage ethical behavior.
 - **Protection of Employees Who Raise Ethical Issues: Whistle-blower** (individual who raises ethical concerns or issues to others)
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Thank you

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